
HS 202: HS 202 Principles of Economics

Course Code	HS 202
Course Name	HS 202 Principles of Economics
L-T-P-C	3-0-0-3
Prerequisites	Consent of the faculty member
Intended for	B.Tech
Distribution	Elective
Approval	2nd Adhoc Senate (May 2012), in the B.Tech HSS core (Humanities and Social Sciences streams) curriculum

Course Contents

- **Introduction and Overview** Economics, the dismal science; Scope of Economics; Diverse types of Economies; Economic Problems and attempted Solutions: Scarcity and Choice; Demand and Supply; Consumers, Producers and the Efficiency of Markets; Elasticity and Its Applications; Consumer Surplus.
- **Behind the Supply Curve** The Producers Outlook; Operational Costs and Revenues; Profit Maximization.
- **Behavior of firms in diverse market environments** Monopoly and antitrust policy; Government policies towards competition; Oligopoly; Monopolistic Competition.
- **Inputs Markets** Markets for the Factors of Production; Discrimination and exploitation of inputs in the imperfect market.
- **Three Key Macro Variables** Gross Domestic Product (Different Concepts of national income, approaches to calculate national income); GDP and the parallel economy; Unemployment; Inflation.
- **Macroeconomic Equilibrium** Business Cycles; The Tradeoff between Inflation and
- **Unemployment** The Phillips Curve; Investment: determinants; Multiplier and its working.
- **Monetary system and Policies** Money in the Modern Economy; Banking and credit creation; Credit Control: Open Market Operations and other measures; Money Multiplier; Money Demand and Interest Rates; Money and Inflation in the Long Run: The Quantity Theory of Money
- **Fiscal Policy** Overview: Facts and Figures; The Role of Social Security; Government Spending and Tax Multipliers.
- **Application** The Costs of Taxation: Income Inequality and Poverty; Externalities: Public Goods and Common Resources; Exploring the Macroeconomics of an Open Economy and Basics of Trade; Balance of Payments-The current and capital account; Welfare Analysis of Trade and Tariffs; Interdependence and the Gains from Trade.
- **Related International Issues** Why are Poor Countries are Poor; Can India Overtake China?

Course readings

1. N. Gregory Mankiw, **Principles of Economics**, 6th Edition, South Western Cengage Learning, 2011.
2. Glenn Hubbard and Anthony OBrien, **Economics**, 3th Edition, Prentice Hall, 2009.
3. Karl E. Case and Ray C. Fair, **Principles of Economics**, 8th Edition, Prentice Hall, 2007.
4. J.E. Stiglitz, and C.E. Walsh, **Principles of Economics**, 3rd Edition, W.W. Norton & Company, 2002.
5. Rest of the assigned reading will be drawn regularly from current newspaper and magazine articles.